

QBS - STOCK MODULE

STANDARD OPERATING PROCEDURE MANUAL

Item Master | Warehouses | Receipts | Deliveries | Stock Entry | Batch & Serial | Valuation |
Reports

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Prepared for QBS Stock Module implementations
Internal controlled working document

Document Control

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How to Use this Manual

This manual defines recommended operating procedures and control checklists for an QBS Stock Module implementation. Exact field names, permissions and screen labels can vary by client configuration. Where a client-specific workflow differs, the approved configuration and role matrix shall prevail. Screenshots can be inserted later as implementation-specific work instructions without changing the underlying SOP controls.

Stock Module Control Philosophy

- One authoritative Item master and unique Item Code per stock item.
- Stock movement should always be traceable through an approved source document (Material Request, Purchase Receipt, Delivery Note or Stock Entry).
- Approvals follow the configured authority matrix; direct quantity or valuation changes should not bypass workflow.
- Exceptions use approved Stock Reconciliation or administrator-controlled correction with an audit trail.
- Stock is reconciled and valuation is closed before month-end financial handover.

SOP Index

SOP	Module / Process	Primary Owner
01	Item Master Management	Stock Administrator
02	Warehouse & UOM Setup	Stock Administrator
03	Stock Settings & Configuration	Stock Administrator
04	Material Request Management	Store Keeper / Purchase Team
05	Purchase Receipt & GRN	Store Keeper / Stock Team
06	Delivery Note & Dispatch	Store Keeper / Sales Team
07	Stock Entry (Transfer / Issue / Receipt / Manufacture)	Stock Team
08	Batch & Serial Number Tracking	Store Keeper / Quality Team
09	Stock Reconciliation	Stock Administrator
10	Quality Inspection	Quality Team
11	Reorder & Replenishment Planning	Stock Administrator / Purchase Team
12	Stock Valuation & Costing	Stock Administrator / Finance Team
13	Stock Approval Matrix	Stock Administrator
14	Reports & Monitoring	Stock Administrator / Inventory Manager
15	Stock Exception & Troubleshooting	Stock Administrator

SOP 01: Item Master Management

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-01	Process Owner	Stock Administrator
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	As required	Classification	Internal Use

Purpose

Ensure every stock item is created with complete, accurate and approved master data before it is transacted.

Scope

Creation, verification, update and deactivation of Item records, including UOM, item group, valuation method and reorder attributes.

Roles and Responsibilities

Role	Responsibility
Store Keeper / Inventory Executive	Raises new item requests with specifications.
Stock Administrator	Creates/updates the Item master and validates configuration.
Purchase Team	Confirms supplier/UOM details for purchased items.

Prerequisites

- Approved item coding convention is defined.
- Item Group, UOM and Brand masters exist.
- Default warehouse and valuation method policy is defined.

Procedure

1. Search the Item master to confirm the item does not already exist under a different code/description.
2. Create the Item record using the approved item code and description.
3. Assign Item Group, default UOM and stock UOM, with conversion factor where units differ.
4. Set the valuation method (FIFO/Moving Average) as per company policy.
5. Configure reorder level, reorder quantity and lead time where applicable.
6. Mark "Is Stock Item", "Is Purchase Item" and "Is Sales Item" flags correctly for intended use.
7. Attach default supplier and default warehouse where the implementation requires them.
8. Save and validate the record using a maker-checker review for critical fields.
9. For obsolete items, disable rather than delete once transaction history exists.

Controls and Exceptions

- Never create a duplicate Item to correct a description or UOM error; edit the existing master.
- UOM conversion factors must be verified before the first transaction; errors compound across stock value.
- Do not delete items with transaction history; disable them instead.

Checklist

✓	Check Point	Status / Remarks
☐	No duplicate item code/description.	
☐	Item Group and UOM correct.	
☐	Valuation method set per policy.	
☐	Reorder level/quantity configured where applicable.	
☐	Stock/Purchase/Sales flags correct.	
☐	Record independently reviewed.	

The screenshot shows the 'New Item' form in the ERPNext Stock module. The form is titled 'Stock / Item / New Item' and has a 'Not Saved' status. The 'Save' button is in the top right corner. The form is divided into several sections:

- Item Code ***: A text input field.
- Item Name**: A text input field.
- Item Group ***: A dropdown menu.
- Default Unit of Measure ***: A dropdown menu with 'Nos' selected.
- Item Attributes**: A section with several checkboxes:
 - ☒ **Maintain Stock**: ERPNext will make a stock ledger entry for each transaction of this item. Keep unchecked for non-stock or service items.
 - ☐ **Is Fixed Asset**: Enable if this item is a company asset like machinery or furniture.
 - ☒ **Allow Sales** ⓘ
 - ☐ **Allow Alternative Item** ⓘ
 - ☒ **Allow Purchase** ⓘ
 - ☐ **Is Customer Provided Item** ⓘ
 - ☐ **Has Variants** ⓘ
- Standard Selling Rate**: A text input field with a note: 'Creates an Item Price automatically when the item is saved'.
- Description >**: A text area for the item description.

The left sidebar shows the navigation menu with options like Home, Dashboard, Stock Entry, Purchase Receipt, Delivery Note, Material Request, Pick List, Tools, and Setup. The user is logged in as 'Administrator' (admin@example.com).

SOP 02: Warehouse & UOM Setup

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-02	Process Owner	Stock Administrator
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	As required	Classification	Internal Use

Purpose

Ensure warehouses and units of measure are structured correctly to support accurate stock location and quantity tracking.

Scope

Warehouse creation (including sub-warehouses), warehouse type, UOM and UOM conversion factor setup.

Roles and Responsibilities

Role	Responsibility
Stock Administrator	Creates and maintains Warehouse and UOM masters.
Warehouse Admin	Confirms physical location mapping.
Inventory Manager	Approves warehouse structure changes.

Prerequisites

- Approved warehouse hierarchy (company > branch > store > bin) is defined.
- Standard UOM list is agreed.

Procedure

1. Define the warehouse hierarchy required (main store, transit, work-in-progress, rejected, etc.).
2. Create each Warehouse with the correct parent warehouse and company.
3. Mark warehouse type (Transit, Rejected, Sample, etc.) where applicable.
4. Create standard UOMs not already available in the system.
5. Define UOM conversion factors for items that use multiple units.
6. Validate that warehouse-wise opening stock is correctly attributed after setup.
7. Restrict warehouse creation/editing to authorised roles only.

Controls and Exceptions

- Avoid ad-hoc warehouse creation outside the approved hierarchy.
- UOM conversion errors should be corrected before any transaction is posted against the item.
- Warehouse deactivation requires stock to be nil or transferred out first.

Checklist

✓	Check Point	Status / Remarks
☐	Warehouse hierarchy matches approved structure.	
☐	Warehouse type flags set correctly.	
☐	UOM and conversion factors verified.	
☐	Access restricted to authorised roles.	
☐	Opening stock attributed to correct warehouse.	

Stock ERPNext

Search

Ctrl+K

Notification

Home

Dashboard

Stock Entry

Purchase Receipt

Delivery Note

Material Request

Pick List

Tools

Setup

Item

Item Group

Item Attribute

Brand

Warehouse

Unit of Measure (UOM)

UOM Conversion Factor

Getting Started

A

Administrator

admin@example.com

/ Stock / UOM / New UOM

Not Saved

UOM Name *

Symbol

Common Code

According to CEFAC/ICG/2010/IC013 or CEFAC/ICG/2010/IC010

Description

Category

☒ Enabled

☐ Must be Whole Number

Check this to disallow fractions. (for Nos)

SOP 03: Stock Settings & Configuration

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-03	Process Owner	Stock Administrator
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	As required	Classification	Internal Use

Purpose

Ensure module-level Stock Settings reflect approved company policy before transactions begin.

Scope

Stock Settings defaults (valuation method, naming series, negative stock, auto material request, etc.) and permission rules.

Roles and Responsibilities

Role	Responsibility
Stock Administrator	Configures Stock Settings and permissions.
Finance / Process Owner	Approves valuation and costing policy.
IT/System Administrator	Applies role-based access.

Prerequisites

- Approved valuation method and costing policy exist.
- Numbering convention for stock documents is defined.

Procedure

1. Review Stock Settings for default valuation method and default warehouse.
2. Configure naming series for Stock Entry, Delivery Note, Purchase Receipt and Material Request.
3. Set the "Allow Negative Stock" policy per approved control philosophy (default: disallowed).
4. Configure auto-creation of Material Requests based on reorder level, if approved.
5. Define role-based permissions for who can create, submit or cancel stock documents.
6. Enable Batch/Serial number tracking at the settings level where the business requires it.
7. Validate settings in a test transaction before releasing to production use.
8. Document configuration decisions in the change log.

Controls and Exceptions

- Do not enable negative stock without an approved exception process; it undermines quantity control.
- Numbering series should not be altered after go-live without a reconciliation plan.
- Settings changes affecting valuation require Finance sign-off.

Checklist

✓	Check Point	Status / Remarks
☐	Valuation method and default warehouse verified.	
☐	Naming series configured.	
☐	Negative stock policy confirmed.	
☐	Permission rules applied.	
☐	Settings tested before go-live.	
☐	Change documented.	

Stock ERPNext

Search

Ctrl+K

Notification

Home

Dashboard

Stock Entry

Purchase Receipt

Delivery Note

Material Request

Pick List

Tools

Setup

Item

Item Group

Item Attribute

Brand

Warehouse

Unit of Measure (UOM)

UOM Conversion Factor

Getting Started

Administrator

admin@example.com

/ Stock / Stock Settings

Defaults

Stock Validations

Serial & Batch Item

Stock Reservation

Quality

Stock Planning

Stock Closing

Document Naming

Stock Settings

Assign

Attachments

Share

Last Edited By You

2 months ago

Created By You

Item Defaults

Item Naming By

Item Code

Default Item Group

Default Valuation Method

FIFO

Price List Defaults

☒ Auto insert Item Price if missing

☐ Update existing Price List Rate

Update Price List based on *

Rate

UOM Defaults

Default Stock UOM

Nos

☐ Allow to edit stock UOM qty for Sales documents

☐ Allow to edit stock UOM qty for Purchase documents

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SOP 04: Material Request Management

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-04	Process Owner	Store Keeper / Purchase Team
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	As required	Classification	Internal Use

Purpose

Ensure stock/purchase requirements are raised, approved and tracked through an auditable Material Request process.

Scope

Material Request creation (Purchase, Material Transfer, Material Issue, Manufacture types), approval and status tracking.

Roles and Responsibilities

Role	Responsibility
Requesting Department / Store Keeper	Raises the Material Request.
Department Head / Manager	Approves the request.
Purchase Team / Stock Team	Actions the approved request.

Prerequisites

- Item and warehouse masters exist.
- Approval hierarchy for requests is defined.

Procedure

1. Identify the requirement and select the correct Material Request type (Purchase, Transfer, Issue, Manufacture).
2. Enter items, required quantity and required-by date.
3. Specify source and target warehouse for transfer-type requests.
4. Route the request for departmental approval.
5. Purchase Team converts approved Purchase-type requests into a Purchase Order/Request for Quotation.
6. Stock Team actions Transfer/Issue-type requests via Stock Entry once approved.
7. Track request status (Pending, Partially Ordered/Transferred, Completed) until closure.
8. Cancel or amend requests that are no longer required, with the reason recorded.

Controls and Exceptions

- Material Requests should not be actioned without the appropriate departmental approval.
- Partially fulfilled requests must be tracked to closure, not left open indefinitely.
- Cancelling a request after partial action requires review of downstream documents.

Checklist

✓	Check Point	Status / Remarks
☐	Correct request type selected.	
☐	Quantity and required-by date specified.	
☐	Approval obtained before action.	
☐	Source/target warehouse correct for transfers.	
☐	Status tracked to closure.	
☐	Cancellations documented with reason.	

Stock ERPNext

Search

Notification

Home

Dashboard

Stock Entry

Purchase Receipt

Delivery Note

Material Request

Pick List

Tools

Setup

Item

Item Group

Item Attribute

Brand

Warehouse

Unit of Measure (UOM)

UOM Conversion Factor

Getting Started

Administrator

Stock / Material Request / New Material Request

Not Saved

Get Items From

Save

Details

Terms

More Info

Series

MAT-MR-.YYYY.-

Transaction Date

23-09-2026

Purpose

Purchase

Required By

Price List

Standard Buying

Items

Scan Barcode

Set Warehouse

Items

☐	No.	Item Code	Required By	Quantit...	Warehouse	UOM	
☐	1			0.000			

Add rowAdd multipleDownloadUpload

SOP 05: Purchase Receipt & GRN

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-05	Process Owner	Store Keeper / Stock Team
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	Daily	Classification	Internal Use

Purpose

Ensure goods received against a Purchase Order are recorded accurately, inspected where required, and posted to the correct warehouse and valuation.

Scope

Purchase Receipt (GRN) creation, quantity/quality verification, linkage to Purchase Order, valuation posting.

Roles and Responsibilities

Role	Responsibility
Store Keeper	Physically receives and verifies goods.
Stock / Purchase Team	Creates the Purchase Receipt in the system.
Quality Team	Performs inspection where configured.

Prerequisites

- An approved Purchase Order exists.
- Receiving warehouse and inspection requirement are known.

Procedure

1. Match physically received goods against the Purchase Order and supplier delivery challan/invoice.
2. Create the Purchase Receipt linked to the correct Purchase Order.
3. Record received quantity against ordered quantity, noting shortages or excess.
4. Route items requiring inspection to Quality Inspection before acceptance.
5. Post accepted quantity to the correct receiving warehouse.
6. Reject or quarantine items failing inspection to a Rejected warehouse.
7. Verify batch/serial numbers are captured at receipt where tracked.
8. Submit the Purchase Receipt and confirm the resulting stock ledger entry and valuation.
9. Reconcile GRN quantities against the Purchase Order and pending Purchase Invoice.

Controls and Exceptions

- Goods should not be accepted into the main warehouse before required inspection is completed.
- Over-receipt beyond the Purchase Order tolerance requires approval before posting.
- Purchase Receipts should not be cancelled after downstream invoicing without a controlled reversal.

Checklist

✓	Check Point	Status / Remarks
☐	Received quantity matched to Purchase Order.	
☐	Quality inspection completed where required.	
☐	Batch/serial numbers captured.	
☐	Correct warehouse posting confirmed.	
☐	Shortage/excess noted and actioned.	
☐	GRN reconciled with PO/Invoice.	

Stock ERPNext

Search

Ctrl+K

Notification

Home

Dashboard

Stock Entry

Purchase Receipt

Delivery Note

Material Request

Pick List

Tools

Setup

Item

Item Group

Item Attribute

Brand

Warehouse

Unit of Measure (UOM)

UOM Conversion Factor

Getting Started

Administrator

admin@example.com

Stock / Purchase Receipt / New Purchase Receipt

Not Saved

Get Items From

Save

Details

Address & Contact

Terms

More Info

Series *

MAT-PRE-YYYY.-

Date *

23-09-2026

☐ Apply Putaway Rule

Supplier *

Posting Time *

12:15:18

☐ Is Return

Supplier Delivery Note

☐ Edit Posting Date and Time

Accounting Dimensions >

Currency and Price List >

Items

Scan Barcode

Accepted Warehouse

Rejected Warehouse

☐ Is Subcontracted

Items

☐	No.	Item Code *	Accepted Quantity	Reject...	Rate (INR)	Amount (INR)	Accepted Wareho...	
☐	1		0	0	₹ 0.00	₹ 0.00		

SOP 06: Delivery Note & Dispatch

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-06	Process Owner	Store Keeper / Sales Team
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	Daily	Classification	Internal Use

Purpose

Ensure goods dispatched to customers are recorded accurately and reduce stock from the correct warehouse.

Scope

Delivery Note creation, linkage to Sales Order, picking, packing and dispatch confirmation.

Roles and Responsibilities

Role	Responsibility
Store Keeper	Picks and packs goods for dispatch.
Sales / Stock Team	Creates the Delivery Note.
Logistics / Dispatch Team	Confirms handover to carrier.

Prerequisites

- An approved Sales Order exists.
- Dispatch warehouse and stock availability are confirmed.

Procedure

1. Confirm stock availability in the dispatching warehouse against the Sales Order.
2. Create the Delivery Note linked to the correct Sales Order and customer.
3. Record batch/serial numbers for tracked items at dispatch.
4. Pick and pack goods, verifying quantity against the Delivery Note.
5. Submit the Delivery Note and confirm the resulting stock reduction in the ledger.
6. Hand over goods to the carrier/logistics team with proof of dispatch.
7. Update dispatch status and share tracking information with the customer where applicable.
8. Investigate any variance between picked and delivered quantity before closure.

Controls and Exceptions

- Do not dispatch quantity in excess of available stock in the source warehouse.
- Delivery Notes should not be back-dated without an approved basis.
- Returns/short-shipments require a controlled correction, not a silent quantity edit.

Checklist

✓	Check Point	Status / Remarks
☐	Stock availability confirmed before dispatch.	
☐	Delivery Note linked to correct Sales Order.	
☐	Batch/serial numbers recorded.	
☐	Picked quantity matches Delivery Note.	
☐	Dispatch confirmed with carrier.	
☐	Variances investigated and closed.	

Stock ERPNext

Search Ctrl+K

Notification

Home

Dashboard

Stock Entry

Purchase Receipt

Delivery Note

Material Request

Pick List

Tools

Setup

Item

Item Group

Item Attribute

Brand

Warehouse

Unit of Measure (UOM)

UOM Conversion Factor

Getting Started

Administrator admin@example.com

Stock / Delivery Note / New Delivery Note Not Saved

Get Items From Save

Details Address & Contact Terms More Info

Series * MAT-DN-.YYYY.-

Date * 23-09-2026

Is Return

Customer *

Posting Time * 12:16:23

Edit Posting Date and Time

Accounting Dimensions >

Currency and Price List >

Items

Scan Barcode

Set Source Warehouse

Delivery Note Item

No.	Item Code *	Quantity *	UOM *	Rate (INR)	Amount (INR)	Warehouse
1		0		₹ 0.00	₹ 0.00	

Add row Add multiple

Download Upload

Total Quantity

Total (INR)

SOP 07: Stock Entry (Transfer / Issue / Receipt / Manufacture)

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-07	Process Owner	Stock Team
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	Daily	Classification	Internal Use

Purpose

Ensure all internal stock movements are recorded through the correct Stock Entry type with full traceability.

Scope

Material Transfer, Material Issue, Material Receipt and Manufacture stock entries between warehouses/cost centers.

Roles and Responsibilities

Role	Responsibility
Store Keeper	Executes the physical movement.
Stock Team	Creates and submits the Stock Entry.
Production / Department Head	Approves issue for consumption where required.

Prerequisites

- Source and target warehouses exist.
- Approved Material Request or production plan is available where applicable.

Procedure

1. Identify the correct Stock Entry type (Material Transfer, Issue, Receipt or Manufacture) for the movement.
2. Link the Stock Entry to the originating Material Request where one exists.
3. Enter items, quantity, source and target warehouse accurately.
4. Capture batch/serial numbers for tracked items.
5. Obtain approval for Material Issue against a cost center/department where required.
6. Submit the Stock Entry and verify the resulting stock ledger and valuation impact.
7. Reconcile physical movement against the system entry on the same day.
8. Investigate and correct any mismatch before the next reporting cycle.

Controls and Exceptions

- Stock Entries should not be created without a corresponding physical movement or approved basis.
- Cross-company or cross-warehouse transfers must use the correct entry type, not a manual adjustment.
- Cancelling a submitted Stock Entry requires review of all downstream valuation impact.

Checklist

✓	Check Point	Status / Remarks
☐	Correct Stock Entry type used.	
☐	Linked to Material Request where applicable.	
☐	Quantities and warehouses verified.	
☐	Batch/serial numbers captured.	
☐	Approval obtained where required.	
☐	Physical-system reconciliation same day.	

Stock ERPNext

Search

Notification

Home

Dashboard

Stock Entry

Purchase Receipt

Delivery Note

Material Request

Pick List

Tools

Setup

Item

Item Group

Item Attribute

Brand

Warehouse

Unit of Measure (UOM)

UOM Conversion Factor

Getting Started

Administrator
admin@example.com

Stock / Stock Entry / New Stock Entry Not Saved

CreateGet Items FromSave

DetailsAccounting DimensionsOther Info

Series *
MAT-STE--YYYY--
Stock Entry Type *

☐ Edit Posting Date and Time
Posting Date
23-09-2026
Posting Time
12:16:54

☐ Inspection Required
BOM Info >
Default Warehouse >
Scan Barcode

Items

☐	No.	Source Warehouse	Item Code *	Qty *	Basic Rate (as per ...)	
☐	1			0.000	₹ 0.00	

SOP 08: Batch & Serial Number Tracking

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-08	Process Owner	Store Keeper / Quality Team
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	As required	Classification	Internal Use

Purpose

Ensure items requiring batch or serial control are fully traceable from receipt to dispatch.

Scope

Batch/Serial number creation, expiry tracking, transaction-level capture.

Roles and Responsibilities

Role	Responsibility
Store Keeper	Records batch/serial numbers at each transaction.
Quality Team	Verifies batch quality and expiry status.
Stock Administrator	Configures batch/serial-enabled items.

Prerequisites

- Item is flagged for batch or serial tracking in the Item master.
- Batch/serial numbering convention is approved.

Procedure

- Confirm the item is correctly flagged for batch or serial tracking before the first transaction.
- Capture the batch number and expiry date (or serial number) at Purchase Receipt.
- Ensure the same batch/serial reference carries through Stock Entry, Delivery Note and returns.
- Monitor batches approaching expiry and flag them for priority dispatch (FEFO) where policy requires it.
- Block or quarantine expired/rejected batches from further issue.
- Reconcile batch-wise/serial-wise quantity during Stock Reconciliation.
- Investigate any transaction where batch/serial reference is missing or mismatched.

Controls and Exceptions

- A batch/serial-tracked item must never be transacted without its reference captured.
- Expired batches must not be issued or dispatched without an approved exception.
- Batch/serial data should never be edited post-transaction without an audit trail.

Checklist

✓	Check Point	Status / Remarks
☐	Batch/serial flag verified on item master.	
☐	Batch/expiry or serial captured at receipt.	
☐	Reference carried through all transactions.	
☐	Expiring batches flagged and actioned.	
☐	Expired/rejected batches blocked.	

✓	Check Point	Status / Remarks
☐	Batch-wise reconciliation completed.	

Stock
ERPNext

Search

Notification

Home

Dashboard

Stock Entry

Purchase Receipt

Delivery Note

Material Request

Pick List

Tools

Setup

Item

Item Group

Item Attribute

Brand

Warehouse

Unit of Measure (UOM)

UOM Conversion Factor

Getting Started

Administrator

/ Stock / Batch / New Batch

Not Saved

Batch Details

Batch ID *

Item *

Manufacturing Date

23-09-2026

Batch UOM

Nos

Expiry Date

☒ Use Batch-wise Valuation

☐ Allow Negative Stock for Batch

If enabled, the system will allow negative stock entries for this batch, overriding the 'Allow negative stock for Batch' setting in Stock Settings. This may lead to incorrect valuation rates, so it is recommended to avoid using this option.

Batch Description

SOP 09: Stock Reconciliation

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-09	Process Owner	Stock Administrator
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	Periodic / Monthly	Classification	Internal Use

Purpose

Ensure system stock quantity and valuation match physical stock through a controlled reconciliation process.

Scope

Physical stock count, Stock Reconciliation entry, variance investigation and approval.

Roles and Responsibilities

Role	Responsibility
Store Keeper	Conducts the physical count.
Stock Administrator	Prepares and posts the Stock Reconciliation.
Inventory Manager	Approves adjustments above the defined threshold.

Prerequisites

- Cut-off date and warehouses in scope are defined.
- All pending Stock Entries/Receipts/Deliveries for the cut-off are posted.

Procedure

1. Freeze transactions in the warehouse(s) under count for the reconciliation window.
2. Conduct the physical stock count, capturing item, batch/serial and quantity.
3. Compare physical count against system quantity to identify variances.
4. Investigate significant variances before adjusting the system (missed entries, mis-tagged warehouse, theft/damage).
5. Prepare the Stock Reconciliation entry with corrected quantities and valuation.
6. Route adjustments above the approved threshold for Inventory Manager sign-off.
7. Submit the Stock Reconciliation and verify the resulting stock ledger correction.
8. Document root cause for material variances and any preventive action.

Controls and Exceptions

- Do not post a Stock Reconciliation adjustment without investigating the variance first.
- Adjustments above the approved threshold require documented sign-off.
- Reconciliation should not be used to routinely mask process gaps (e.g. unposted Stock Entries).

Checklist

✓	Check Point	Status / Remarks
☐	Transactions frozen for count window.	
☐	Physical count completed and documented.	
☐	Variances investigated before adjustment.	
☐	Adjustments above threshold approved.	
☐	Stock Reconciliation submitted and verified.	
☐	Root cause documented for material variances.	

SOP 10: Quality Inspection

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-10	Process Owner	Quality Team
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	As required	Classification	Internal Use

Purpose

Ensure incoming, in-process and outgoing stock meets defined quality parameters before acceptance or dispatch.

Scope

Quality Inspection Template setup, inspection at Purchase Receipt/Delivery Note/Stock Entry, accept/reject decisions.

Roles and Responsibilities

Role	Responsibility
Quality Team	Performs inspection and records results.
Store Keeper	Segregates accepted/rejected stock.
Quality Manager	Approves inspection templates and handles disputes.

Prerequisites

- Quality Inspection Template with approved parameters exists for the item/item group.
- Inspection requirement (incoming/outgoing/in-process) is configured on the item.

Procedure

1. Confirm the item requires inspection and the correct template is linked.
2. Draw sample quantity per the approved sampling plan.
3. Record readings/results against each inspection parameter.
4. Mark the inspection as Accepted or Rejected based on defined tolerances.
5. Route accepted stock to the intended warehouse and rejected stock to a Rejected/quarantine warehouse.
6. Link the inspection result to the corresponding Purchase Receipt/Delivery Note/Stock Entry.
7. Escalate borderline or disputed results to the Quality Manager.
8. Track rejection trends by supplier/item for corrective action.

Controls and Exceptions

- Stock must not move to an unrestricted warehouse before inspection is completed, where required.
- Inspection results should not be altered after submission without an approved basis.
- Recurring supplier rejections should trigger a documented supplier review.

Checklist

✓	Check Point	Status / Remarks
☐	Correct inspection template applied.	
☐	Sample drawn per approved plan.	
☐	Results recorded against parameters.	

✓	Check Point	Status / Remarks
☐	Accept/reject decision documented.	
☐	Rejected stock segregated.	
☐	Rejection trends reviewed periodically.	

Stock ERPNext

Search

Ctrl+K

Notification

Home

Dashboard

Stock Entry

Purchase Receipt

Delivery Note

Material Request

Pick List

Tools

Stock Reconciliation

Landed Cost Voucher

Repost Item Valuation

Packing Slip

Quality Inspection

Setup

Item

Item Group

Getting Started

Administrator

admin@example.com

/ Stock / Quality Inspection / New Quality Inspection

Not Saved

Series *

MAT-QA--YYYY,-

Inspection Type *

Company

Reference Type *

Report Date *

23-09-2026

Reference Name *

Status *

Accepted

Item Code *

Description

Item Serial No

Batch No

Sample Size *

Quality Inspection Template

SOP 11: Reorder & Replenishment Planning

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-11	Process Owner	Stock Administrator / Purchase Team
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	Periodic / Monthly	Classification	Internal Use

Purpose

Ensure stock levels are replenished proactively to avoid stockouts or excess inventory.

Scope

Reorder level/quantity configuration, auto Material Request generation, replenishment review.

Roles and Responsibilities

Role	Responsibility
Stock Administrator	Configures and monitors reorder levels.
Purchase Team	Actions replenishment requests.
Inventory Manager	Reviews replenishment policy periodically.

Prerequisites

- Historical consumption data is available.
- Lead time and safety stock policy are approved.

Procedure

1. Analyse historical consumption to set an appropriate reorder level and reorder quantity per item/warehouse.
2. Configure the reorder level and quantity on the Item master.
3. Enable auto-generation of Material Requests when stock falls below reorder level, if approved.
4. Review auto-generated requests for relevance before releasing to Purchase.
5. Monitor fast-moving and slow-moving items separately for policy adjustment.
6. Adjust reorder parameters when lead time or consumption pattern changes materially.
7. Review stockout and excess-inventory incidents monthly for root cause.

Controls and Exceptions

- Reorder levels should be reviewed periodically, not set once and left static.
- Auto-generated requests must still pass departmental approval before ordering.
- Excess inventory situations should trigger a review of reorder quantity, not just a write-off.

Checklist

✓	Check Point	Status / Remarks
☐	Reorder level/quantity set per analysis.	
☐	Auto Material Request configuration verified.	
☐	Generated requests reviewed before ordering.	
☐	Fast/slow-moving items tracked separately.	
☐	Parameters updated on material change.	
☐	Stockout/excess incidents reviewed monthly.	

SOP 12: Stock Valuation & Costing

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-12	Process Owner	Stock Administrator / Finance Team
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	Monthly	Classification	Internal Use

Purpose

Ensure stock valuation is calculated consistently and reflects true cost for financial and management reporting.

Scope

Valuation method application (FIFO/Moving Average), landed cost, valuation rate review, stock-to-accounts reconciliation.

Roles and Responsibilities

Role	Responsibility
Stock Administrator	Maintains valuation configuration and landed cost entries.
Finance / Accounts Team	Reconciles stock valuation with the general ledger.
Inventory Manager	Reviews valuation variances.

Prerequisites

- Valuation method is approved and configured per item/company.
- Landed cost components (freight, duty, etc.) policy is defined.

Procedure

1. Confirm the valuation method (FIFO/Moving Average) is correctly applied per company policy.
2. Record Landed Cost Vouchers for freight, duty and other cost additions where applicable.
3. Review valuation rate movement for significant items periodically.
4. Reconcile the Stock Ledger value against the Stock/Inventory account in the general ledger.
5. Investigate and correct discrepancies between stock and accounts balances.
6. Review negative-stock or negative-valuation exceptions, if any occurred.
7. Close the valuation review before month-end financial closure.
8. Document any valuation method change with an approved basis and effective date.

Controls and Exceptions

- Valuation method should not be changed mid-year without Finance approval and disclosure.
- Landed costs must be allocated to the correct Purchase Receipt before valuation is finalised.
- Stock-to-accounts mismatches must be resolved before month-end closure, not carried forward silently.

Checklist

✓	Check Point	Status / Remarks
☐	Valuation method confirmed correct.	
☐	Landed costs recorded where applicable.	
☐	Valuation rate reviewed for key items.	
☐	Stock Ledger reconciled with GL.	
☐	Discrepancies resolved before closure.	
☐	Valuation changes documented.	

SOP 13: Stock Approval Matrix

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-13	Process Owner	Stock Administrator
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	As required	Classification	Internal Use

Purpose

Ensure Material Requests, Stock Entries, Purchase Receipts, Delivery Notes and Reconciliations follow a defined authority matrix.

Scope

Approval hierarchy for stock document creation, submission, cancellation and adjustment.

Roles and Responsibilities

Role	Responsibility
Stock Administrator / Admin	Maintains and publishes the approval matrix.
Department Head / Store Keeper	First-level approver for requests and issues.
Inventory Manager / Finance	Approver for high-value adjustments and reconciliations.

Prerequisites

- Organisation approval hierarchy is defined and documented.
- System role/permission configuration matches the approved matrix.

Procedure

1. Document the approval matrix for each stock document type and value threshold.
2. Configure system roles/permissions to reflect the approved matrix.
3. Test each approval workflow with a sample transaction before go-live.
4. Publish the matrix to Store Keepers, Department Heads and the Purchase/Sales teams.
5. Review the matrix periodically for role changes (new joiners, transfers, exits).
6. Update permissions immediately when an approver role changes.
7. Audit a sample of approved/cancelled transactions periodically against the published matrix.

Controls and Exceptions

- Direct stock/quantity changes should not bypass the configured approval workflow.
- Approver access must be removed promptly on role change or exit.
- Matrix changes require Admin/Finance sign-off and version control.

Checklist

✓	Check Point	Status / Remarks
☐	Approval matrix documented and current.	
☐	System permissions match matrix.	
☐	Workflow tested end-to-end.	
☐	Matrix published to stakeholders.	

✓	Check Point	Status / Remarks
☐	Approver changes updated promptly.	
☐	Periodic audit completed.	

SOP 14: Reports & Monitoring

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-14	Process Owner	Stock Administrator / Inventory Manager
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	Daily / Weekly	Classification	Internal Use

Purpose

Provide reliable, timely visibility into stock levels, movement and valuation using standard reports.

Scope

Stock Balance, Stock Ledger, Stock Ageing, Reorder Report, Batch-wise Balance, Valuation Report, Projected Qty.

Roles and Responsibilities

Role	Responsibility
Stock Administrator	Reviews stock balance and ledger reports.
Inventory Manager	Reviews ageing, reorder and valuation reports.
Finance Team	Reviews valuation and reconciliation reports.

Prerequisites

- Underlying transactions (receipts, issues, transfers) are current and posted.
- Reporting cadence (daily/weekly/monthly) is agreed.

Procedure

1. Review the Stock Balance report daily for warehouse-wise quantity visibility.
2. Review the Stock Ledger report to trace movement history for specific items.
3. Review the Stock Ageing report to identify slow-moving and non-moving stock.
4. Review the Reorder Report to plan upcoming replenishment.
5. Review Batch-wise/Serial-wise Balance for expiry and traceability monitoring.
6. Review the Valuation Report and reconcile with Finance periodically.
7. Review Projected Qty (available minus reserved plus incoming) before committing to new sales/production.
8. Share periodic stock reports with management and flag significant variances.

Controls and Exceptions

- Reports should be reconciled against source data before being relied upon for decisions.
- Significant ageing or valuation variances require documented explanation.
- Report distribution should follow the approved communication process.

Checklist

✓	Check Point	Status / Remarks
☐	Stock Balance reviewed daily.	
☐	Stock Ledger reviewed for traceability.	
☐	Ageing report reviewed for slow-moving stock.	

✓	Check Point	Status / Remarks
☐	Reorder report reviewed for replenishment.	
☐	Valuation report reconciled with Finance.	
☐	Reports shared per agreed cadence.	

SOP 15: Stock Exception & Troubleshooting

Document	QBS Stock Module SOP Manual	Version	1.0
SOP Code	QBS-STOCK-15	Process Owner	Stock Administrator
Effective Date	To be approved	Review Cycle	Annual / on major system change
Frequency	As required	Classification	Internal Use

Purpose

Provide a consistent method for diagnosing and resolving Stock Module issues.

Scope

Negative stock, valuation mismatches, missing batch/serial references, reconciliation variances and other common exceptions.

Roles and Responsibilities

Role	Responsibility
Stock Administrator	Investigates configuration/master data issues.
Store Keeper	Reports and triages physical-vs-system discrepancies.
Finance Team	Investigates valuation/GL mismatches.

Prerequisites

- Issue description, item, warehouse and date/time are captured.
- Recent configuration or transaction changes are known.

Procedure

1. Classify the issue: master data, configuration, transaction entry, valuation, or system/integration.
2. For negative stock, trace the sequence of transactions causing the shortfall.
3. For valuation mismatches, verify valuation method, landed cost allocation and GL reconciliation.
4. For missing batch/serial reference, trace back to the originating Purchase Receipt/Stock Entry.
5. For reconciliation variances, revisit the physical count and any transactions posted after cut-off.
6. Trace the data flow layer by layer: source transaction → stock ledger entry → report/GL.
7. Test the fix against the original scenario before closing the issue.
8. Check for duplicate or unintended entries created during correction.
9. Record root cause, corrective action and preventive action for recurring issues.

Controls and Exceptions

- Do not proceed to direct stock/quantity correction before the root cause is understood.
- Preserve evidence (count sheets, screenshots, logs) before reprocessing.
- Bulk corrections require backup, sample validation and post-change reconciliation.

Checklist

✓	Check Point	Status / Remarks
☐	Issue and item/warehouse captured.	
☐	Root cause classified.	
☐	Valuation/tagging/batch verified as applicable.	
☐	Fix tested on original scenario.	
☐	Duplicate check completed.	
☐	Root cause and preventive action documented.	

Master QBS Stock Module Go-Live / Periodic Control Checklist

Area	Control Check	Status	Remarks / Owner
Masters	Item codes unique and complete	☐	
Masters	Warehouse hierarchy and UOMs validated	☐	
Masters	Reorder level/quantity configured for key items	☐	
Configuration	Stock Settings and numbering series validated	☐	
Configuration	Negative stock policy confirmed	☐	
Receiving	Purchase Receipt / GRN process tested end-to-end	☐	
Receiving	Quality Inspection tested where applicable	☐	
Dispatch	Delivery Note process tested end-to-end	☐	
Internal Movement	Stock Entry types tested (Transfer/Issue/Receipt/Manufacture)	☐	
Batch & Serial	Batch/serial capture tested from receipt to dispatch	☐	
Reconciliation	Physical count and Stock Reconciliation process tested	☐	
Valuation	Valuation method and landed cost tested	☐	
Valuation	Stock Ledger reconciled with GL	☐	
Security	Roles and permissions reviewed for least privilege	☐	
Security	Separated/inactive users disabled	☐	
Operations	Daily exception-monitoring responsibility assigned	☐	
Operations	Monthly reconciliation and closure calendar issued	☐	
Support	Issue escalation matrix and support contacts published	☐	
Support	Backup/change/reprocessing procedure documented	☐	
Governance	SOP training completed for store, purchase and finance teams	☐	

Monthly Stock Control Sign-off

Control	Owner	Status	Remarks
Stock Reconciliation completed	Stock Administrator	☐	
Pending GRNs/Delivery Notes cleared	Store Keeper / Stock Team	☐	
Stock valuation reconciled with GL	Finance Team	☐	
Reorder levels reviewed	Stock Administrator / Purchase	☐	
Expired/rejected batches cleared	Store Keeper / Quality	☐	
Inactive users / stale approvers reviewed	Admin	☐	
Recurring incidents reviewed for RCA/CAPA	Stock Administrator	☐	

Revision History

Version	Date	Change	Prepared By	Approved By
1.0	September 2026	Initial QBS Stock Module SOP Manual	Q10 Analytics Pvt. Ltd.	